of economic growth, not those who remain stuck in the agricultural or even industrial era.

## *Strong Leaders Do Not Necessarily Make Good Economic Policy Choices*

India has had three extremely strong and popular prime ministers: Jawaharlal Nehru, Indira Gandhi and Narendra Modi. All three won comfortable majorities in the Lok Sabha on the strength of their sway over the people of the country. All three leaders have been more than presidential in their ability to take decisions. While we have the benefit of hindsight for evaluating the impact of economic policy decisions made by Jawaharlal Nehru and Indira Gandhi, the verdict on economic policy choices which are still being made by Narendra Modi would have to wait for some more time for a more complete assessment.

Jawaharlal Nehru opted for the socialist pattern of society, with the public sector becoming almost the exclusive investor and operator in most industrial areas that required high investment, operated as utilities or processed critical and natural resources.

The most fundamental economic policy choice made by Nehru led to transferring the mantle of producing private goods and services to the public sector by excluding the private sector from many industrial sectors and nationalizing the private sector. The public sector is nothing but the corporatized government sector. This governmentalization of industrial production had massive consequences for the Indian economy.

Government, by its very nature, is not an efficient agency for production of private goods and services. As a result, almost the entire savings of the country got directed to building inefficient high-cost assets in the public sector with poor economic and financial returns. The exclusion of the dynamic part of the economy—the private sector—by reserving most industries for the public sector, institutionalizing the licence and permit raj